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26.02 Import Trade

Meaning

Import trade refers to purchasing goods and service from a foreign country. For Example Purchase of chemicals by an Indian company from France is termed as import. Domestic purchaser of goods is termed as importer and overseas seller is called exporter.

Objectives of Import Trade

Objectives of import trade have been highlighted hereunder.

1. Achieving Rapid Industrialization

Developing countries can achieve rapid industrialisation by importing advanced technology scarce raw materials, capital goods like machinery equipment, etc., and talents from other countries.

2. Meeting Consumer Demand

Certain goods are either not available or cannot be manufactured / produced adequately to meet the growing demand in home country. Hence import is necessary to meet the short supply of those goods.

3. Upgrading Standard of Living of the People

Consumers are able to use a wide variety of goods like cell phone, car laptop. television audio system, washing machine, perfume, soaps, etc., manufactured in foreign countries and enhance their standard of living through import trade.

4. Meeting Shortage Situation

During famine, earthquake, flood draught, tsunami, abnormal price-increase situations and so on food grains, vegetables and other essential commodities are imported from foreign countries and bad situation arising from the above situations are thus overcome.

5. Strengthening Defence

Many countries around the world import defence equipments for its armed force. Such imports enable the country to ensure its sovereignty and territorial integrity.

Import Procedure

Import procedure varies from country to country depending upon the foreign trade policy of a country. Government of India has framed rules and regulations for the import. The import procedures has been clearly spelt out of Government of India. Following are the procedures of import trade.

1. Obtaining Import License

Importer has to secure Import and Export Code (IEC) from the Director General of Foreign Trade or its Regional Authority. The Indian Institute classification (ITC) –Harmonized System (HS) classified the goods into three categories, namely Restricted, Canalised and Prohibited. Goods not specified in the above categories can be freely imported without any restrictions. Import license is not required to import the goods not mentioned in the above classification. An import license is valid for 24 months for capital goods and 18 months for other goods.